

WEBINAR BONUS 01 · VALUE Rs 1,499

The Risk Management Playbook

The rules our own risk desk lives by. Position sizing, kill switches, drawdown protocols, exposure caps. Boring on purpose. Alive because of it.

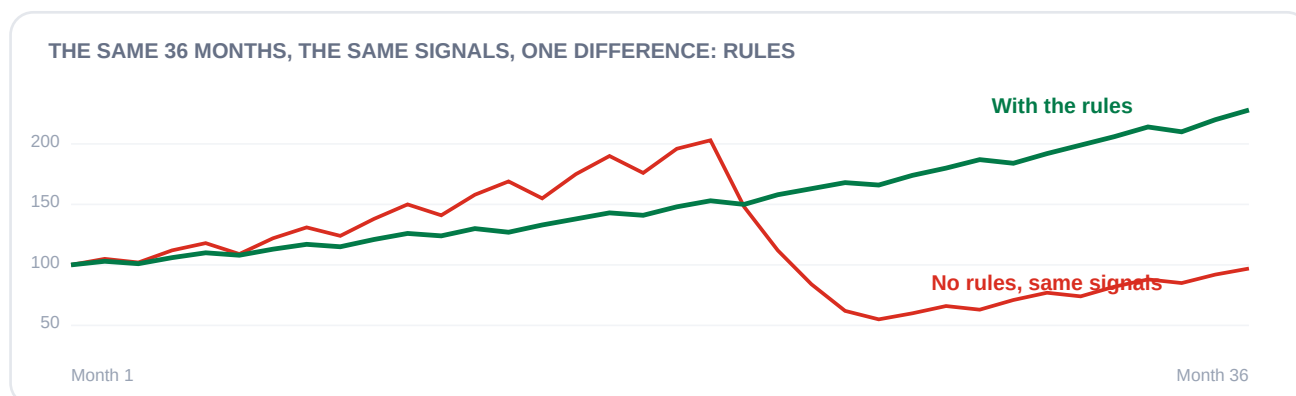
FROM THE RETURNS RISK DESK

Read this before your next trade

Here is an uncomfortable truth from six years on trading desks: we have never met an account that died from a bad entry signal. Not one. Every blown account we have examined, including two of our own early ones, died the same way: a position that was too big, a stop that got "one more candle", and a revenge trade to win it back.

SEBI's study says 93 out of 100 intraday F&O traders lose money. People read that and think the 93 lacked skill. They did not. Most of them were right about the market more often than not. They lacked rules, and the market eventually found the day where that mattered.

What follows is the actual framework running inside Returns, translated for a human with a broker app. Nothing here needs code. All of it needs discipline.



Both curves above trade identical signals. The red account sized up after wins, skipped stops twice, and gave back two years in one bad quarter. The green one followed this playbook. That gap is not talent. It is Chapter 2.

Chapter 1: decide how much pain you can take, in writing

Amateurs start with a return target. Professionals start with a loss budget: the maximum drawdown at which you would honestly stop, look at everything again, and only then continue. Write that number down now. Not in your head. On paper, where the future you (who will be down and rationalising) can see it.

Your temperament	Sensible loss budget	What it implies
Sleep matters most	10% of capital	Small size, hedged structures only
Can stomach swings	15 to 20%	Mix of hedged and stop-guarded strategies
Experienced, aggressive	25 to 30%	Directional book allowed, kill rules non-negotiable

FROM THE DESK

Whatever number you wrote, live drawdowns feel roughly twice as bad as backtested ones. A 20% drawdown on a chart is a statistic. A 20% drawdown in your account is a month of bad sleep. Budget for the feeling, not the chart.

Chapter 2: the sizing formula (there is only one)

Position size = (Capital × Risk per trade) ÷ Stop distance

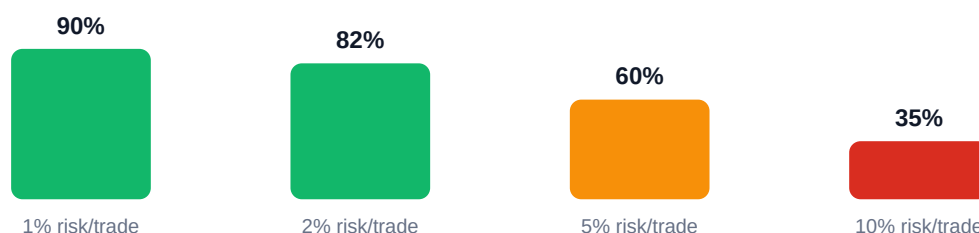
Risk per trade: 0.5% to 2% of capital. Stop distance: the loss per unit if your stop is hit. That is the whole formula. Everything else is decoration.

On a Rs 10,00,000 account risking 1% (Rs 10,000 per trade), it looks like this:

The trade	Stop distance	What the formula allows
Stock at Rs 500, stop Rs 480	Rs 20 per share	500 shares. A Rs 2.5 lakh position, no more
Nifty future, 100 point stop	Rs 7,500 per lot	1 lot. Not 3 because you feel sure
Option spread, max loss Rs 4,800	Rs 4,800 per spread	2 spreads

Notice the quiet genius of it: volatile trades and wide stops automatically get smaller size. Conviction never enters the equation, which is precisely the point. If the computed size feels boringly small, the formula is doing its job. Exciting size is how the 93% got there.

CAPITAL LEFT AFTER 10 STRAIGHT LOSSES, BY RISK PER TRADE



Ten losses in a row happens to every strategy eventually. At 1% risk you shrug it off with 90% intact. At 10% risk you are down to a third of your money and mathematically need to triple just to get home.

Three sizing sins

- **Averaging a loser.** You are doubling exposure at the exact moment the market disagrees with you.
- **Sizing up after a streak.** Streaks end. The oversized give-back erases weeks of careful gains.
- **Trading full margin.** Margin available is not a sizing rule. Keep a 20% buffer for adverse marks.

Chapter 3: stops and kill switches

A stop-loss is a decision you make while calm, executed later without renegotiation. Inside Returns the stop is automated and fires in under a second. By hand, you need four pre-commitments:

Rule	Fires when	You do this
Per-trade stop	The level you wrote before entry is hit	Exit fully. No "one more candle".
Daily kill switch	The day is down 2 to 3% of capital	Flat everything. Walk away until tomorrow.
Weekly kill switch	The week is down 5%	Flat. Journal review over the weekend. Restart Monday.
Strategy kill	6 straight losses, or tested max DD exceeded	Retire it until it re-proves itself on paper.

FROM THE DESK

Our daily kill switch fired at 11:40 AM on a brutal morning in March 2020 and sat us out of the worst afternoon of the decade. It has also cost us a few afternoon recoveries over the years. We would sign that deal again every single time.

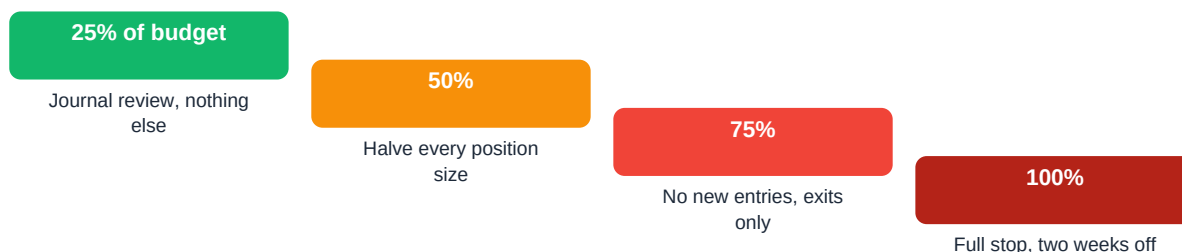
Chapter 4: caps that protect you from yourself

Cap	Our limit
Any single underlying	10% of capital, hard stop
Any single strategy	30% of capital
Correlated positions	Nifty and BankNifty longs are ONE position for cap purposes, not two
Naked overnight exposure	Zero. Naked directional risk is intraday only, always stop-guarded
Event days (budget, Fed, elections, big results)	Half size or flat. Gap openings do not respect stop-losses

Chapter 5: the drawdown ladder

Drawdowns are not emergencies. Unplanned reactions to drawdowns are. Pre-commit to the ladder below (steps are fractions of the loss budget you wrote in Chapter 1) and the worst weeks run themselves:

PRE-COMMITTED RESPONSES, DECIDED WHILE CALM



The ladder works because each response was chosen by the calm version of you. The version of you that is down 18% and negotiating does not get a vote. That is the entire trick.

Chapter 6: the 20-minute weekend review

Every weekend, five numbers. The habit matters more than the sophistication:

- 1. Net P&L** after every cost. Brokerage, STT, slippage. Gross P&L is a bedtime story.
- 2. Profit factor**, gross wins divided by gross losses. Below 1.2 for a month straight: investigate.
- 3. Average win vs average loss.** If losses run bigger than wins and you win less than 60% of the time, the arithmetic is quietly against you.
- 4. Largest single loss.** Was it inside the risk you budgeted? If not, which rule failed, and why?
- 5. Rule violations.** Count them honestly. This number predicts survival better than P&L does.

The ten rules, on one page

- 01 Write your loss budget before your return target.**
- 02 Risk 0.5% to 2% per trade. Never more, however sure you feel.**
- 03 Size = (Capital x Risk%) / Stop distance. Conviction is not a variable.**
- 04 Every trade has its stop decided before entry, in writing.**
- 05 Daily kill at 2 to 3% down. Weekly kill at 5%.**
- 06 Never average a loser. Never trade again on a kill-switch day.**
- 07 One underlying: max 10% of capital. One strategy: max 30%.**
- 08 Correlated positions count as one position.**
- 09 Event days: half size or flat. Zero naked overnight risk.**

10 Count your rule violations weekly. The only good trend is zero.

Print this page. Stick it where you trade. The day it feels unnecessary is usually the day it is about to pay for itself.

Educational material only, not investment advice and not a recommendation to buy or sell any security. Investments in securities markets are subject to market risks. Read all related documents carefully before investing. Past performance is not indicative of future returns. Returns Wealth is operated by Optibase Financial Technologies Pvt. Ltd.